



Public Competition Assessment

22 June 2007

OneSteel Limited – proposed acquisition of Smorgon Steel Group Limited

BlueScope Steel Limited – proposed acquisition of Smorgon’s steel distribution assets

Introduction

1. On 7 June 2007, the Australian Competition and Consumer Commission (ACCC) announced that it did not propose to intervene in the proposed acquisition of Smorgon Steel Group Limited (Smorgon) by OneSteel Limited (OneSteel), subject to section 87B undertakings accepted by the ACCC. The ACCC was of the view that the proposed acquisition, in conjunction with the undertakings, would be unlikely to have the effect of substantially lessening competition in any of the relevant markets in contravention of the *Trade Practices Act 1974* (the Act).
2. Also on 7 June 2007, the ACCC announced that it did not propose to intervene in the proposed acquisition of Smorgon’s steel distribution assets by BlueScope Steel Limited (BlueScope). The ACCC was of the view that the proposed acquisition would be unlikely to have the effect of substantially lessening competition in steel distribution markets in contravention of the Act.
3. The ACCC made these decisions on the basis of information provided by the parties and information arising from its market inquiries. This Public Competition Assessment outlines the basis on which the ACCC reached its decision on the proposed transaction, subject to confidentiality requirements.

Public Competition Assessment

4. To provide an enhanced level of transparency and procedural fairness in its decision making process, the ACCC issues a Public Competition Assessment for all transaction proposals where:
 - (i) a merger is rejected;
 - (ii) a merger is subject to enforceable undertakings;
 - (iii) the merger parties seek such disclosure; or
 - (iv) a merger is approved but raises important issues that the ACCC considers should be made public.

5. This Public Competition Assessment has been issued because the proposed acquisition of Smorgon by OneSteel is subject to a court enforceable undertaking and both acquisitions are considered to raise issues of interest to the public. In particular, the ACCC noted that an issue of interest was the extent to which imports would be likely to provide a competitive constraint in the relevant markets, particularly in light of the potential impact of anti-dumping applications.
6. By issuing Public Competition Assessments, the ACCC aims to provide the market with a better understanding of the ACCC's analysis of various markets and the associated merger and competition issues. It also alerts the market to the circumstances where the ACCC's assessment of the competition conditions in particular markets is changing, or likely to change, because of developments.
7. Each Public Competition Assessment is specific to the particular transaction under review by the ACCC. While some transaction proposals may involve the same or related markets, it should not be assumed that the analysis and decision outlined in one Public Competition Assessment will be conclusive of the ACCC's view in respect of other transaction proposals, as each matter will be considered on its own merits.
8. Many of the ACCC's decisions will involve consideration of both non-confidential and confidential information provided by the merger parties and market participants. In order to maintain the confidentiality of particular information, Public Competition Assessments do not contain any confidential information or its sources. While the ACCC aims to provide an appropriately detailed explanation of the basis for the ACCC decision, where this is not possible, maintaining confidentiality will be the ACCC's paramount concern, and accordingly a Public Competition Assessment may not definitively explain all issues and the ACCC's analysis of such issues.

The Parties

OneSteel

9. OneSteel is a vertically-integrated mining, steel manufacturing and metal products distribution company, with revenues of over A\$3 billion. OneSteel manufactures and distributes a range of long and tubular steel products including structurals, rail products, rod and bar, wire, pipe and tube and reinforcing products. The majority of OneSteel's products are used in the construction, manufacturing, housing, mining and agricultural industries.
10. OneSteel's principal operations include:
 - an iron ore mine at Whyalla;
 - steelworks at Whyalla and Sydney, which produce approximately 1.7 million tonnes of raw steel per annum;
 - steel rolling (rod and bar) mills at Newcastle and Sydney;
 - wire mills/rural products manufacturing facilities at Newcastle and Geelong;

- pipe and tube mills at Sunshine and Somerton, Kwinana, Kembla Grange and Newcastle;
 - a steel reinforcing processing and distribution network with 38 outlets, operating under the name OneSteel Reinforcing; and
 - steel and aluminium products distribution businesses with 94 outlets operating within the OneSteel distribution division, including OneSteel Steel & Tube, Metaland, Piping Systems, Sheet and Coil, Fire Systems and Midalia Steel.
11. Long steel products are also manufactured in Australia by Smorgon and are imported.
 12. OneSteel is listed on the Australian Stock Exchange and employs approximately 7,400 people.

BlueScope

13. BlueScope specialises in the manufacture of flat steel products. In Australia, BlueScope manufactures slab, plate, hot and cold rolled coil, tinplate, and coated and painted sheet and coil products (including roofing and wall cladding, purlins, and house framing).
14. BlueScope is the only manufacturer of flat steel products in Australia. Flat steel products are also imported.
15. BlueScope sells flat products directly to some end-users, including through its own service centres. BlueScope also sells the products it manufactures to distributors including Smorgon, OneSteel and others.

Smorgon

16. Smorgon is a vertically-integrated manufacturer of long and tubular steel products. Smorgon has metal scrap collection, steel manufacturing and metal products distribution divisions. As with OneSteel, Smorgon's customers are primarily in the construction, manufacturing, housing, mining and agricultural industries.
17. Smorgon's principal operations include:
 - a scrap metal collection and processing business which has operations in 39 locations throughout Australia, China and New Zealand (Smorgon's steel products are made almost entirely from recycled iron and steel, and Smorgon purchases more than one million tonnes of feed scrap annually);
 - steelworks at Laverton (Victoria) and Waratah (New South Wales), which together produce approximately 900,000 tonnes of raw steel annually;
 - steel rolling (rod and bar) mills at Laverton and Waratah, and a wire mill at Laverton North (Victoria);
 - pipe and tube mills at Acacia Ridge (Queensland);

- a grinding media business comprising manufacturing facilities at Newcastle, Kansas City (USA) and West Java (Indonesia) and sales and marketing offices located in Newcastle, Kalgoorlie and West Java;
 - a reinforcing business with 45 processing and service centres throughout Australia; and
 - a steel and aluminium products distribution business operating across Australia, Hong Kong, Singapore and New Zealand, including 42 outlets operating under the 'Metalcorp' brand.
18. Smorgon is listed on the Australian Stock Exchange and employs over 5000 people.

The proposed transactions

19. It is proposed that OneSteel and Smorgon will merge by way of a scheme of arrangement under which Smorgon shareholders will be issued with shares in OneSteel.
20. Immediately prior to the implementation of the scheme of arrangement, Smorgon's steel and metals distribution businesses will be purchased by BlueScope.
21. Implementation of these transactions is conditional on ACCC clearance, approval by Smorgon shareholders, court approval of the scheme of arrangement and other conditions precedent.
22. An ancillary arrangement to the proposed acquisitions of Smorgon and Smorgon distribution, is that BlueScope will assume control of the scrap pool. OneSteel currently operates the scrap pool.

Timing

23. Between 26 June 2006 and 11 April 2007, OneSteel sought informal clearance of four separate proposals. Three of those proposals involved some or all of the assets of Smorgon being transferred to OneSteel. The fourth was a joint request for clearance by OneSteel and Smorgon for their proposed pipe and tube joint venture. The ACCC assessed each proposal individually.
24. A timeline line of key events for each proposal is outlined below.

Proposal 1 – proposed acquisition of Smorgon by OneSteel

Date	Event
26th June 2006	ACCC commenced assessment of proposed acquisition of Smorgon by OneSteel under Merger Review Process Guidelines
14th August 2006	ACCC released a Statement of Issues in relation to the proposed acquisition
1st September 2006	Proposed announcement of ACCC findings delayed at request of OneSteel to enable more time for OneSteel to respond to the ACCC's Statement of Issues

19th September 2006	Pause in ACCC process extended until further notice
5th February 2007	Request for informal clearance of proposed acquisition withdrawn

Proposal 2 – proposed pipe and tube joint venture

Date	Event
19 th December 2006	ACCC commenced review of a proposed pipe and tube joint venture between OneSteel and Smorgon under the Merger Review Process Guidelines
31 st January 2007	ACCC decided not to oppose the proposed joint venture

Proposal 3 – proposed acquisition of Smorgon assets by OneSteel

Date	Event
5th February 2007	ACCC commenced review of proposed purchase by OneSteel of certain Smorgon assets under the Merger Review Process Guidelines
20th March 2007	At the request of OneSteel, the announcement of the ACCC's decision in relation to the proposed asset purchase was delayed
10th April 2007	Request for informal clearance of proposed asset purchase withdrawn

Proposal 4 – proposed acquisition of Smorgon by OneSteel and of Smorgon's distribution assets by BlueScope

Date	Event
11 th April 2007	ACCC commenced review of proposed acquisition of Smorgon (other than Smorgon Distribution which was proposed to be sold to BlueScope immediately prior to OneSteel's acquisition) under the Merger Review Process Guidelines. Market inquiries commenced
2 nd May 2007	Closing date for submissions from interested parties
23 rd May 2007	Proposed date for announcement of ACCC's findings delayed pending further discussions with the parties
7 th June 2007	ACCC decided not to oppose proposed acquisitions of Smorgon by OneSteel and of Smorgon's distribution assets by BlueScope. The ACCC accepted court enforceable undertakings from OneSteel to alleviate concerns in relation to the ability of imports to provide a competitive constraint on the merged entity

25. The prolonged process was a necessary consequence of the numerous significant changes in the transaction proposed by the parties.

Market inquiries

26. The ACCC conducted seven different rounds of market inquiries while investigating the four proposed transactions, namely:

Proposal 1

- (i) Initial market inquiries involving a broad range of competitors, customers and suppliers of OneSteel and Smorgon in July 2006;
- (ii) Market inquiries following the Statement of Issues published in August 2006;

Proposal 2

- (iii) Market inquiries in relation to the proposed pipe and tube JV in January 2007;

Proposal 3

- (iv) Market inquiries in relation to the proposed asset purchase in February 2007;

Proposal 4

- (v) Market inquiries in relation to the proposed acquisition of Smorgon by OneSteel in April 2007;
- (vi) Market inquiries in relation to the proposed acquisition of Smorgon's distribution assets by BlueScope in April 2007; and
- (vii) Market inquiries in relation to the undertaking offered by OneSteel in May/June 2007.

27. This Public Competition Assessment relates to the decision made by the ACCC in relation to Proposal 4.

Market definition

28. OneSteel and Smorgon both manufacture and distribute a large range of what are commonly known in the industry as 'steel long products'. The term long products generally includes structural beams, rod, bar, wire, reinforcing products and pipe and tube.
29. OneSteel and Smorgon are the only Australian manufacturers of most of these products. However, pipe and tube products are also manufactured by a third company, Orrcon.
30. All of the products manufactured by both OneSteel and Smorgon are also imported to varying extents.
31. BlueScope is the sole Australian manufacturer of steel flat products. BlueScope does not manufacture steel long products.
32. The ACCC did not consider that market definition was critical to the competition analysis of the proposed acquisitions. This is because in all relevant markets, however defined, the key question was whether or not the merged entities would be, or would likely be, competitively constrained by imports of

the relevant products and, in the case of BlueScope's proposed acquisition, by other distributors.

33. For the purposes of this analysis, the ACCC considered the likely impact of the merger on competition in the following markets:

- (i) the national markets for supply of manufactured steel including:
 - o rod and bar;
 - o wire; and
 - o pipe and tube;
- (ii) State based markets for the distribution of steel long (including pipe and tube products) and flat products;
- (iii) State based markets for the manufacture and supply of reinforcing steel products;
- (iv) State based markets for ferrous scrap processing and processed scrap supply to end users;
- (v) a national market for the supply of steel long bar to grinding media manufacturers; and
- (vi) a national market for the supply of grinding media to mining companies.

COMPETITION ANALYSIS

34. The ACCC released a Statement of Issues (SOI) in August 2006 in relation to the proposed acquisition of Smorgon by OneSteel. The SOI raised a number of issues of concern and potential concern to the ACCC. Those issues, where relevant to the proposed acquisitions by OneSteel and by BlueScope, are considered in the competition analysis below.

General comments on imports

35. The SOI raised a general concern that there was doubt over the ability of imports to act as a competitive constraint on the merged entity in a range of markets. Specifically, the SOI noted:

While the ACCC is aware that it is possible to import most types of steel products, information presented to the ACCC suggests that in many cases, these imports tend to be highly commoditised, often lower quality steel products, in contrast to a range of high grade and/or specialised products fit for certain end-use applications which can only be effectively sourced from domestic manufacturers. The ACCC notes that this seems to reflect a high degree of discontinuity of supply and/or minimal technical and economic substitution in end-user demand. The ACCC has concerns that in many cases, the only sources of steel products which are required for some purposes are either OneSteel or Smorgon and in future the only domestic source will be the merged entity.

36. In response to the SOI, the ACCC received a large amount of information in relation to these issues. A significant proportion of these submissions

contradicted the assertion that imports do not impose a competitive constraint on OneSteel and Smorgon.

37. The ACCC noted that the issue of lead times did not appear to be a significant impediment to import competition in light of evidence to suggest that many companies have success in operating viable and competitive businesses which rely wholly or near-wholly on imported products. These businesses had demonstrated an ability to manage lead times and compete with businesses that source predominantly domestically produced steel. The ACCC considered that the longer lead times associated with imports may cause a disruption to supply in any initial switch to using imported products. However, once a relationship is established with an overseas supplier or with a trading house in Australia, appropriate inventory management measures can prevent disruptions to supply during the normal course of business. Over the medium to long term the longer lead times associated with imports do not prevent imports from being a competitive constraint.
38. The ACCC noted that, on balance, most interested parties were of the view that imports of long steel products were not significantly hindered by factors such as quality, range or lead times.
39. This is consistent with broad trends in imports of steel long products. From 2000-01 to 2005-06, imports of steel long products increased at an average annual rate of 18%. Since 2003-04, imports of long products have exceeded 20% of steel long products used in Australia.¹
40. Additional market share data upon which the ACCC relied was of a confidential nature and as such has not been identified in this PCA. However, this data did support the general view that imports were a competitive constraint on OneSteel and Smorgon.

Anti dumping

41. The ACCC understands that anti-dumping applications have only been made in recent years in relation to certain pipe and tube products as well as some structural steel products.
42. Throughout the ACCC's assessment of OneSteel's various proposals to acquire Smorgon, anti-dumping was a significant issue of concern to many interested parties.
43. Specifically, many interested parties submitted that anti-dumping applications caused or could potentially cause significant disruptions to imports of steel long products into Australia. It was submitted that anti-dumping applications create uncertainty and can lead to shortages in the availability of imports during the period that the Australian Customs Service (Customs) is examining an application. This impact is sometimes referred to as a "chilling" effect on competition.
44. It was submitted that importers are not readily able to switch their supply source during times of uncertainty and shortage caused by anti-dumping applications.

¹ Based on ABS data and information provided by market participants.

45. Broadly, it was submitted that anti-dumping applications decrease import competitiveness due to overseas mills and importers being reluctant to price too aggressively for fear of becoming subject to anti-dumping applications. In addition, it was submitted that following the commencement of an anti-dumping investigation by Customs, significant uncertainty was created which caused shortages in supply and/or increases in prices of imported products.
46. The ACCC expressed concern that, absent effective import competition, the proposed acquisition would remove the only source of domestic competition in the vast majority of steel long product markets and was therefore likely to lead to a substantial lessening of competition. The ACCC had concerns in relation to the ability of imports to constrain the merged entity due to the potential impact of future anti-dumping applications.
47. In light of these concerns, OneSteel offered a section 87B undertaking as a means of addressing the ACCC's concerns. The key feature of the undertaking was that for a period of at least five years, OneSteel undertook to compensate importers who have incurred expenses or losses as a result of unsuccessful anti-dumping applications.
48. The ACCC formed the view that the undertaking was likely to act as an appropriate discipline on OneSteel's incentives to make speculative anti-dumping applications which would be likely to disrupt import competition. As such, the ACCC accepted the undertaking offered by OneSteel.
49. A copy of the executed undertaking can be found on the ACCC's website at www.accc.gov.au and is discussed below from paragraph 127.
50. The following discussion in relation to each product market is presented on the basis that any concerns in those markets relating to anti-dumping applications are resolved by the undertaking accepted by the ACCC.

Steel rod and bar

51. The SOI stated that the acquisition of Smorgon was unlikely to raise competition concerns in relation to the supply of "manufacturing" rod and bar (i.e. rod and bar excluding merchant bar, reinforcing rod and bar and bar for grinding media). This was predominantly because Smorgon accounts for a smaller share of the supply of "manufacturing" rod and bar than either OneSteel or imports.
52. The ACCC's view in this regard was not altered following the SOI.
53. Reinforcing rod and bar and bar for grinding media were considered separately by the ACCC and are discussed later in this PCA.
54. In respect of merchant bar, the ACCC did not consider that there were any substantive reasons why there would be any difficulties in importing the range of products manufactured by OneSteel and Smorgon. Merchant bar is a worldwide traded commodity and to the extent that merchant bar products manufactured in Australia are different to merchant bar products manufactured overseas, there exists sufficient existing and potential capacity for production of suitable products for the Australian market by overseas mills. The ACCC

understands that imports of merchant bar have doubled in market share since 2000-01.

55. For the above reasons, the ACCC formed the view that the proposed acquisition was unlikely to result in a substantial lessening of competition in the relevant rod and bar markets.

Wire and rural products

56. In the SOI, the ACCC expressed potential concerns regarding the effect of the proposed acquisition on wire and rural product markets.
57. After publishing the SOI, the ACCC received information which supported a view that wire and rural products were imported in significant quantities and were competitive with products manufactured by OneSteel and Smorgon.
58. While some interested parties expressed concerns raising issues such as quality, potential for damage in transit and lead times associated with imported wire, other importers noted that these issues were not a substantial impediment to importing wire. This is consistent with broad trends in imports of wire products. Since 2000-01, the market share of imports has grown and since 2004-05, imports of wire have exceeded 30% of the market.²
59. The ACCC noted that several companies had ongoing relationships with overseas wire manufacturers which enabled them to compete with companies manufacturing wire domestically. Several companies imported their entire wire requirements.
60. In light of the above, the ACCC did not consider that the proposed acquisition was likely to result in a substantial lessening of competition in the relevant wire market.
61. Wire is used in the rural products industry to make fencing and fencing products. OneSteel and Smorgon compete in the manufacture and supply of these products. OneSteel and Smorgon also supply wire and other steel products (such as some pipe and tube products) to their competitors who manufacture rural and fencing products from those inputs.
62. Given that the ACCC formed the view that imports of wire were likely to constrain the merged entity, the ACCC considered that the proposed acquisition would not enable the merged entity to foreclose other manufacturers of rural and fencing products over the medium to long term by denying supply or raising prices of the key input (wire).
63. The ACCC was informed that a potential barrier to import competition was product branding and having an “Australian Made” label. However, the ACCC considered that in the event of a price rise or reduction in quality these factors are unlikely to prevent a significant proportion of buyers from switching to imported product. The ACCC considered that most end-users of rural products were likely to be price sensitive and willing to switch to imported product given a significant rise in price or drop in quality.

² Based on ABS data and information provided by market participants.

64. In general, submissions to the ACCC suggested that the barriers to entry and expansion in rural products manufacturing were relatively low, particularly as regards to the cost of purchasing new manufacturing equipment. The ACCC considered that a new entrant could, with a relatively small investment, set up manufacturing operations for the production of rural products to sell in competition with those produced by the merged entity.
65. For the above reasons, the ACCC formed the view that the proposed acquisition was unlikely to result in a substantial lessening of competition in the relevant wire and rural products markets.

Pipe and tube

66. In the SOI, the ACCC noted potential concerns in relation to the supply of steel pipe and tube, in particular with respect to steel hollow structural sections (HSS).
67. The potential concerns related specifically to the ability of imports of HSS to act as a competitive constraint on domestic manufacturers of HSS (and specifically the merged entity). Market inquiries had indicated that imports may not provide such a constraint due to difficulties in sourcing imports of HSS which meet the relevant Australian Standards – AS1163 and AS1074.
68. Following the SOI, further information was provided to the ACCC which indicated that HSS made to the relevant Australian Standards was currently imported in significant quantities. Further, the ACCC found that there was significant capacity to increase imports of these products in future.
69. In addition, the ACCC noted that imports of the OneSteel and Smorgon overlapping pipe and tube products have grown annually by an average of 30% since 2000-01 and the market share of these products has exceeded 30% in recent years.³
70. On 31 January 2007, the ACCC decided not to oppose a proposal by OneSteel and Smorgon to form a joint venture company (the JV) into which they would each transfer their current structural pipe and rectangular hollow section manufacturing businesses. The ACCC decided that imports were likely to act as a competitive constraint on the JV.
71. As part of that decision, the ACCC also considered a section 87B undertaking offered by OneSteel regarding anti dumping applications. The ACCC did not accept the undertaking, concluding that there was no evidence which suggested that import competition had suffered during or after previous anti-dumping investigations in relation to pipe and tube products. On the contrary, the ACCC noted that imports of pipe and tube products have increased significantly despite anti-dumping applications in recent years.
72. Following that decision, OneSteel and Smorgon implemented the proposal and now jointly manufacture HSS products in a 50:50 JV.

³ Based on ABS data and information provided by market participants.

73. The proposed acquisition of Smorgon by OneSteel includes a proposal for OneSteel to acquire Smorgon's 50% share of the JV.
74. However, for the same reasons that the ACCC did not oppose the JV, the ACCC considered that it is likely that OneSteel will be competitively constrained post-acquisition. That is, significant imports of HSS as well as a third domestic competitor (Orrcon) are likely to prevent OneSteel from raising prices post-acquisition.
75. The ACCC also noted that there are a significant number of independent distributors who have access to imported products and products manufactured by Orrcon which are likely to act as a competitive discipline on OneSteel in the distribution market.
76. Again, the ACCC did not consider that imports of pipe and tube products were likely to be significantly hindered by anti-dumping applications. As noted above, despite anti-dumping applications, imports of pipe and tube products have increased significantly in recent years. In particular, the volume of imports of overlapping pipe and tube products has more than quadrupled since 2000-01.⁴
77. As such, the ACCC did not consider that the proposed acquisition of Smorgon's 50% share of the JV was likely to result in a substantial lessening of competition.
78. In line with the ACCC's finding with respect to imports of pipe and tube products, the anti-dumping undertaking accepted by the ACCC in this matter does not cover pipe and tube products. The ACCC considered that this was appropriate given that import competition in this product category has grown in strength despite anti-dumping applications made in respect of such products.

Reinforcing

79. The SOI noted concerns the ACCC had in relation to reinforcing. Specifically, the ACCC was concerned that imports of steel reinforcing products may not be a competitive constraint on domestic steel reinforcing suppliers due to:
- quality and service requirements;
 - longer lead times;
 - transport and storage costs;
 - difficulties gaining market acceptance of imported products; and
 - difficulties in getting imported products certified by the Australian Certification Authority for Reinforcing Steel (ACRS).
80. The ACCC also raised a potential concern in relation to a suggestion that many large reinforcing projects must be accompanied by the provision of reinforcing

⁴ Based on ABS data and information provided by market participants.

engineering services which may require significant investment in time and money to establish.

81. Following the publication of the SOI, the vast majority of submissions from competing reinforcing suppliers indicated that imports are a viable alternative to domestic supply and will provide a competitive constraint post-acquisition.
82. This is consistent with broad trends in imports of reinforcing steel. From 2000-01 to 2005-06, imports of reinforcing steel increased at an average annual rate of 29%. Since 2004-05, imports of reinforcing steel have accounted for in excess of 15% of reinforcing steel used in Australia.⁵
83. The ACCC noted that a number of independent reinforcing fabricators/distributors had entered the market in recent years. A number of these entrants have relationships with overseas mills to supply them with imported reinforcing rod and bar and the majority of these mills were ACRS certified.
84. In addition, the majority of independent reinforcers noted that they provided the full suite of reinforcing engineering or scheduling services that are necessary to enable them to compete for large reinforcing projects.
85. The ACCC was made aware of a significant number of examples of independent reinforcing companies winning medium to large reinforcing steel contracts. A number of these large contracts did not require ACRS accreditation.
86. The ACCC formed the view that quality, lead times, transport and storage costs and ACRS accreditation did not appear to act as barriers to independent reinforcing companies competing vigorously in the market. Further the ACCC did not consider that scheduling or engineering services posed a barrier to independent reinforcing companies competing in the market.
87. The ACCC noted the several examples of recent entry into the market by independent reinforcers, particularly those who had relationships with overseas mills. The ACCC considered that there was considerable scope for further new entry and competition from similar ventures in the future.
88. The ACCC formed the view that the proposed acquisition was unlikely to lead to a substantial lessening of competition in any reinforcing market due to the existing strong presence of independent reinforcers and the potential for further new entry and expansion in future.

Grinding media

89. Grinding media is the term used to describe various shapes of iron, steel chromium and high alloy shaped or forged objects used for crushing or grinding coarse rock containing particles of precious metal. Target elements such as gold, zinc, copper, silver, nickel, alumina or uranium can be recovered in this way from mined ore. Grinding media is produced by heating and forging steel long bar into the appropriate shapes.

⁵ Based on ABS data and information provided by market participants.

90. The two domestic manufacturers of grinding media in Australia are Smorgon and Donhad. Some grinding media is imported. The two domestic manufacturers of long bar suitable for grinding media are OneSteel and Smorgon. The key customers of grinding media are major mining companies.
91. The SOI noted concerns the ACCC had in relation to grinding media. The key issue of concern for the ACCC was that post-acquisition the merged entity would be both a major supplier of grinding media in Australia and the only domestic manufacturer and supplier of steel long bar used in the process of manufacturing grinding media. The SOI noted that this may create the potential for the merger to substantially lessen competition in the supply of grinding media.
92. The ACCC considered that the key issue to consider was the extent to which the merged entity would be competitively constrained by imports of steel long bar. The ACCC considered that if imports of steel long bar were likely to impose a competitive constraint on the merged entity, then no substantial lessening of competition would be likely in relation to grinding media.
93. The ACCC noted that substantial quantities of steel long bar have been imported for use in grinding media in recent years.
94. The ACCC received submissions which suggested that imports of steel long bar have in the past been used to discipline OneSteel in the supply of steel bar to its customers. The ACCC understands that it has been common for OneSteel to have to lower its prices and improve its market offers to make itself competitive with the prices at which steel long bar could be imported. The ACCC considered that this evidence suggests that OneSteel has been competitively constrained in the past by imports and threats to increase imports of steel long bar.
95. The ACCC received submissions which suggested that, due to strong overseas demand conditions, imports of steel long bar had become more expensive or more difficult to source in recent times and that this limited the extent to which imports could provide a competitive constraint on OneSteel.
96. The ACCC considered that world demand conditions are an ever-present factor in the price and availability of steel long bar. The ACCC acknowledged that in times where demand is strong, import prices to Australia are likely to increase. However, the ACCC did not agree that this, of itself, decreased the extent to which imports are a competitive constraint on domestic manufacturers.
97. The ACCC considered that if OneSteel was competitively constrained by imports, then the fluctuation of import prices simply affected the price that OneSteel was able to charge. When import prices were low, OneSteel would be under pressure to lower its prices. When import prices increased, the pressure on OneSteel would decrease and it would be likely to raise its prices.
98. For this reason, the ACCC considered that the current shortage of imported steel long bar and/or higher price at which steel long bar could be imported did not, of itself, mean that OneSteel would not be competitively constrained post-acquisition.

99. The ACCC also considered whether the proposed acquisition would be likely to create an incentive for OneSteel to act to Donhad, through restricting the supply of steel long bar to Donhad.
100. The ACCC considered that such an incentive may be created for OneSteel if, by OneSteel decreasing its supply of steel long bar to Donhad, it would profit from gained sales of finished grinding media.
101. However, the ACCC considered that such a strategy by OneSteel was unlikely to be profitable because Donhad would have a strong incentive to import any shortfall in steel long bar and would compete vigorously with OneSteel to supply finished grinding media. The loss of sales in steel long bar would not be mitigated by increased sales of grinding media. As such, OneSteel would have an incentive to continue to supply Donhad with steel long bar.
102. The ACCC also noted the significant size of Donhad and the impact that losing a customer of this size would have on OneSteel's operations. The ACCC considered that losing a customer of this size had the potential to harm the profitability of OneSteel's operations, noting the economic importance of running steel mills at full capacity (or as close to it as possible).
103. The ACCC noted that a small amount of grinding media was currently imported into Australia and some mining companies indicated that they would look to increase imports of finished grinding media in the event that domestically produced product increased in price. These imports and the potential for imports to increase in the presence of higher prices for domestically-manufactured grinding media may add to the constraint imposed on the merged firm. The ACCC did not consider the size of the constraint imposed by imported grinding media to be a defining issue in the assessment.
104. For the reasons outlined above, the ACCC formed the view that the proposed acquisition was unlikely to result in a substantial lessening of competition in either the market for the supply of bar to grinding media manufacturers or in the market for finished grinding media.

Steel for mining applications

105. The SOI noted concerns that the ACCC had in relation to steel for certain mining applications. The key issue of concern was that imports of steel for mining applications may not be a sustainable and competitive constraint on the merged entity due to longer lead times and limited availability of imports of special grades of steel and tailor-made products. The two products in question were steel mining mesh and steel bar used as feed for roof bolts (or rock bolts).

Steel mining mesh

106. Steel mining mesh is used for strata control in mines. Mining mesh is produced by welding wire feed (drawn from rod) to form mesh using a mesh manufacturing machine. Mining mesh is available in different sizes, edge configurations, diameters, strengths, specific designs and finishes.

107. OneSteel and Smorgon manufacture many different types of wire feed including wire suitable for manufacturing mining mesh. Wire suitable for mining mesh is also imported.
108. The ACCC considered that the threshold issue in relation to mining mesh is whether the merged entity will be competitively constrained from raising the price of wire as feed for mining mesh or finished mining mesh to manufacturers/distributors or direct to mining customers. The most likely source of constraint is imports.
109. The ACCC considered that there are two potential ways that the merged entity could be constrained:
- (i) by the ability of existing mesh manufacturers (e.g. reinforcing mesh manufacturers) to import wire rod which could be used to manufacture mining mesh in competition with OneSteel; and
 - (ii) by actual and potential new entry into mining mesh manufacturing.
110. Several mesh manufacturing companies indicated that importing wire rod is a viable option. A number of these parties indicated that they have imported wire rod in the past.
111. Most market participants agreed that importing finished mining mesh was not a viable option due to the high transport costs per tonne (high volume versus weight due to the spaces between the mesh). However, at least one mining company indicated that it would import mining mesh if it could not source it domestically.
112. Market participants have estimated the cost of purchasing a new mesh manufacturing machine at between \$500,000 and \$2.5 million. A number of interested parties submitted that they were either actively considering or would consider purchasing such a machine and would source wire rod either domestically or from imports.
113. The ACCC formed the view that in the event that OneSteel attempted to raise the price of mining mesh to suppliers or wire rod to mining mesh manufacturers, barriers to entry are sufficiently low to enable new entrants to import feed and constrain OneSteel.

Roof bolts

114. Roof bolts are used to provide strata control (roof and wall stabilisation) for underground mines. Roof bolts are made from manufacturing rod and bar.
115. Rock bolt feedstock material (steel bar) can be sourced from OneSteel, Smorgon, or can be imported. Roof bolt feedstock is slightly different to steel reinforcing bar in specifications, strength and dimensions.
116. The ACCC considered that the threshold issue in relation to feed for mining bolts is whether manufacturers of mining bolts could source imported feed as a way of constraining OneSteel in its supply of feed products.

117. The main issue of concern to roof bolt manufacturers was the ability to source imported feed of suitable quality.
118. However, the ACCC received submissions that suggested that it is becoming easier to import certain feed products and that if difficulties were encountered in sourcing products from OneSteel then imports could be increased. The ACCC also received indication that mining companies are in a position to import roof bolts if required.
119. The ACCC formed the view that since roof bolt manufacturers are likely to have an alternative source of supply of feed from imports, the merged entity is unlikely to possess the ability to raise prices.

Scrap

120. The proposed acquisition of Smorgon by OneSteel and the proposed acquisition of Smorgon's distribution assets by BlueScope includes an ancillary proposal whereby BlueScope will assume OneSteel's role as the operator of what is commonly known as the 'scrap pool'.
121. The scrap pool is an arrangement whereby OneSteel currently acquires processed scrap on behalf of BlueScope and Tyco, in addition to its own requirements.
122. The ACCC formed the view that the proposed change in role in the operator of the scrap pool did not, of itself, raise competition concerns.

Steel distribution

123. The proposed acquisition of Smorgon by OneSteel excludes Smorgon's distribution assets. Smorgon's distribution assets are the subject of a separate (but related) acquisition proposal by BlueScope.
124. The combined effect of the proposed acquisitions by OneSteel and BlueScope would be that Smorgon Distribution would no longer have its own manufacturing operations for steel long products (these would now be owned by OneSteel) but would instead have its own manufacturing operations for steel flat products (through its new owner, BlueScope).
125. The ACCC formed the view that the proposed acquisitions were not likely to result in a substantial lessening of competition in steel distribution markets (absent any impact of speculative anti-dumping applications) for the following reasons:
 - (i) Post-acquisitions, there will remain a large number of independent distributors that rely wholly on imported steel products (both flat and long). Any attempt by BlueScope or OneSteel to raise prices in the distribution markets would be likely to lead to losses of market share to these independents.
 - (ii) Post-acquisitions, there will remain a significant number of distributors that rely on a mix of domestic and imported steel products (both flat and long). These distributors are likely to have an incentive to increase

their proportion of imported steel in response to a price increase from BlueScope or OneSteel, especially in circumstances where independent importing distributors are gaining market share at their expense.

- (iii) In light of (i) and (ii) above, there is likely to be a strong competitive constraint on OneSteel and BlueScope's distribution businesses. Any incentives that may be created for OneSteel and BlueScope to compete less vigorously are likely to be effectively constrained by the ability of other distributors to increase the proportion of imports that they source.

ONESTEEL'S UNDERTAKING

- 126. The intention of the undertakings is to create a substantial disincentive for OneSteel to make anti-dumping applications which are speculative or poorly targeted.
- 127. The undertakings achieve this by including provision for OneSteel to compensate importers who have incurred expenses or losses as a result of wholly or partially unsuccessful anti-dumping applications.
- 128. The undertakings also include provisions for the appointment of an independent auditor in circumstances where verification of claims of expense is sought by OneSteel and the appointment of an independent expert in circumstances where verification of claims of loss is sought by OneSteel.
- 129. The undertakings apply to anti-dumping applications in respect to merchant bar, manufacturing rod and bar, bar for grinding media, reinforcing rod and bar and low carbon wire.
- 130. The undertakings do not apply to anti-dumping applications in relation to pipe and tube products. As noted in paragraph 79, the ACCC formed the view that imports are likely to provide a competitive constraint on the merged entity in relation to pipe and tube products, regardless of any anti-dumping applications made in future.

CONCLUSION

- 131. On the basis of the above, including taking into account OneSteel's undertaking, the ACCC formed the view that OneSteel's proposed acquisition of Smorgon would not be likely to result in a substantial lessening of competition in any of the relevant markets in contravention of section 50 of the Act.
- 132. In addition, on the basis of the above, the ACCC formed the view that the proposed acquisition of Smorgon's distribution assets by BlueScope would not be likely to result in a substantial lessening of competition in any steel distribution market in contravention of section 50 of the Act.